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PAL PENSION ALLIANCE LIMITED,

Plot 289, Adeogun Street,

Victoria Island,

Lagos.



LETTER OF INDEMNITY IN RESPECT OF RETIREMENT SAVINGS ACCOUNT EQUITY CONTRIBUTION

THIS INDEMNITY is issued by **Cooperative Mortgage Bank Ltd.** of 11B University Crescent, UI-Secretariat road, Old Bodija, Ibadan (hereinafter called "Cooperative Mortgage Bank" which expression shall where the context so admits include its successors-in-title and assigns), to **PAL PENSION ALLIANCE LIMITED** Limited having its Head Office at **Plot 289, Adeogun Street, Victoria Island, Lagos.** (hereinafter called "**PAL PENSION ALLIANCE LIMITED (PFA)**" which expression shall where the context so admits include its successors-in-title and assigns)

WHEREAS:

1. **PAL PENSION ALLIANCE LIMITED** is a Pension Fund Administrator licensed by the National Pension Commission ("the Commission") to manage individual Retirement Savings Accounts (RSA) in accordance with the provisions of the Pension Reform Act, 2014 ("the Act");
2. Pursuant to the Act, the Commission has issued Guidelines on Accessing RSA Balance towards Payment of Equity Contributions for Residential Mortgage ("Guidelines") which Guidelines permit RSA Account Holders to access a portion of their RSA balance as equity contribution towards acquiring a residential property from a licensed financial institution;
3. **Cooperative Mortgage Bank** is duly licensed by the Central Bank of Nigeria (CBN) and meets all the eligibility criteria for the provision of mortgage lending services to RSA holders under the Guidelines issued by the Commission.
4. **Cooperative Mortgage Bank** has received applications from several RSA holders who maintain RSAs with **PAL PENSION ALLIANCE LIMITED** and in line with the Guidelines, the indemnifier has agreed to finance the purchase of a residential property on behalf of the RSA holders, subject to the execution of relevant mortgage contracts.
5. **AJIBADE MARY BOSE**, the RSA holder has requested and authorized that a portion of his/her RSA balance should be utilized as equity contribution to facilitate his/her mortgage and has applied to the **PAL PENSION ALLIANCE LIMITED** to release to the indemnifier, a portion not more than 25% of his/her RSA balance as equity contribution towards the acquisition of a residential mortgage.
6. **Cooperative Mortgage Bank** has conducted all requisite due diligence to confirm the authenticity of the RSA holder's intended acquisition of a residential property and undertakes to **PAL PENSION ALLIANCE LIMITED** that the portion of the RSA holder's fund which shall be released to the **Cooperative Mortgage Bank** on the RSA holder's request shall be applied solely as equity contribution towards the acquisition of a residential mortgage, under the mortgage



agreement between the Indemnifier and the RSA holder; and shall not, under any condition, be released to the RSA holder or any third party for any other purpose.

7. **PAL PENSION ALLIANCE LIMITED** agrees to release the relevant portion of the RSA holder's fund to the **Cooperative Mortgage Bank** and has requested that the Indemnifier provides this indemnity in favour of **PAL PENSION ALLIANCE LIMITED** in the manner hereinafter stated.

NOW THEREFORE, in consideration of **PAL PENSION ALLIANCE LIMITED** effecting the transfer of the portion of the RSA holder's balance to the Indemnifier as equity contribution by the RSA holder whose RSA **PIN** herein appears, towards acquisition of residential property in accordance with the Guidelines, **We, Cooperative Mortgage Bank Ltd** hereby irrevocably and unconditionally covenant that we shall at all times hereafter, indemnify **PAL PENSION ALLIANCE LIMITED** and keep **PAL PENSION ALLIANCE LIMITED** fully indemnified against all claims, demands, liabilities, actions, damages, penalties and legal proceedings (including any cost of litigation) which may be incurred by **PAL PENSION ALLIANCE LIMITED** in the event that the fund so released by **PAL PENSION ALLIANCE LIMITED** is not utilized as equity contribution towards the purchase of a residential property on behalf of the RSA holder.

Furthermore, Cooperative Mortgage Bank, undertakes to pay **PAL PENSION ALLIANCE LIMITED** on demand without cavil or contention, all payments, liabilities, damages and expenses (including but not limited to legal fees) incurred by the **PAL PENSION ALLIANCE LIMITED** from acceding to the RSA holder's request to release funds from his/her RSA, in the event that the fund so released by **PAL PENSION ALLIANCE LIMITED** is not utilized as equity contribution towards the purchase of a residential property on behalf of the RSA holder.

This Indemnity shall be a continuing security and shall be enforceable from the date of disbursement of the portion of the RSA holder's balance to **Cooperative Mortgage Bank** and shall inure to the benefit of **PAL PENSION ALLIANCE LIMITED** up until the utilization of the funds so released, as equity contribution towards the acquisition of the residential property in favour of the RSA holder by the **PAL PENSION ALLIANCE LIMITED**.

This Indemnity shall not be enforceable against **Cooperative Mortgage Bank** for any claims, demands, liabilities, losses, actions, damages, penalties, and legal proceedings (including any cost of litigation), arising from any dispute or breach howsoever, in the contractual relationship between **PAL PENSION ALLIANCE LIMITED** and the RSA holder.

The indemnification provided under this Indemnity by **Cooperative Mortgage Bank** shall be completely discharged upon the utilization of the portion of the RSA holder's balance towards the purchase of a residential property in favour of the RSA holder by **Cooperative Mortgage Bank**.

RSA HOLDER: AJIBADE MARY BOSE

PIN: PEN200066970833

This indemnity shall be governed by and construed in accordance with the extant laws of the Federal Republic of Nigeria.

THE COMMON SEAL of the within named INDEMNIFIER **Cooperative Mortgage Bank** was hereunto affixed in the presence of:

Authorized Signatory

Authorized Signatory